

performance for at least a half century, and they are virtually unanimous on several points:

- the average fund does not pick stocks well enough to overcome its costs of researching and trading them;
- the higher a fund's expenses, the lower its returns;
- the more frequently a fund trades its stocks, the less it tends to earn;
- highly volatile funds, which bounce up and down more than average, are likely to stay volatile;
- funds with high past returns are unlikely to remain winners for long.²

FIGURE 9-1 The Crash-and-Burn Club

Fund	Total Return				Value on 12/31/02 of \$10,000 invested on 1/1/1999
	1999	2000	2001	2002	
Van Wagener Emerging Growth	291.2	-20.9	-39.7	-64.6	4,419
Monument Internet	273.1	-56.9	-52.2	-51.2	3,756
Amerindo Technology	248.9	-64.8	-50.8	-31.0	4,175
PHHC Technology & Communications	243.9	-43.7	-52.4	-54.5	4,898
Van Wagener Post-Venture	237.2	-30.3	-62.1	-67.3	2,907
Profunds Ultra OTC	233.2	-73.7	-69.1	-69.4	829
Van Wagener Technology	223.8	-28.1	-61.9	-65.8	3,029
Thurlof Growth	213.2	-56.0	-26.1	-31.0	7,085
Fidelity Technology Innovators	212.3	-37.9	-29.1	-54.8	6,217
Janus Global Technology	211.6	-33.7	-40.0	-40.9	7,327
Wilshire 3000 Index (total stock market)	23.8	-10.9	-11.0	-20.8	7,780

Source: Lipper

Note: Monument Internet was later renamed Orbitex Emerging Technology.

These 10 funds were among the highest performers of 1999—and, in fact, among the highest annual performers of all time. But the next three years erased all the giant gains of 1999, and then some.

Your chances of selecting the top-performing funds of the future on the basis of their returns in the past are about as high as the odds that Bigfoot and the Abominable Snowman will both show up in pink ballet slippers at your next cocktail party. In other words, your chances are not zero—but they're pretty close. (See sidebar, p. 255.)

But there's good news, too. First of all, understanding why it's so hard to find a good fund will help you become a more intelligent investor. Second, while past performance is a poor predictor of future returns, there are other factors that you can use to increase your odds of finding a good